

4. $1 - (0.70 \times 0.85 \times 0.95) = 1 - 0.5673 = 43.3\%$
5. $\$6,500 \times 0.02 = \130.00
6. 3% discount if paid within 15 days; full amount due in 45 days
7. $\text{Cost} = (\$56 \div \$2,744) \times (365 \div 20) \approx 37.2\%$ annualized

Key Vocabulary

List Price

The published catalog or manufacturer's suggested price before any discounts are applied.

Trade Discount

A reduction from list price offered to buyers in the supply chain (retailers, wholesalers, etc.).

Net Price

The actual price paid after all trade discounts have been subtracted from list price.

Complement

The portion of the price the buyer actually pays; calculated as $(1 - \text{discount rate})$.

Chain Discount

A series of successive trade discounts applied one after the other to the same item.

Single Equivalent Rate

A single discount rate that produces the same net price as a chain of discounts.

Cash Discount

A percentage reduction offered to buyers who pay their invoice within a specified early payment window.

Payment Terms

The notation describing a cash discount — e.g., 2/10 net 30 means 2% off if paid within 10 days, full amount due in 30 days.

Discount Period

The number of days within which a buyer must pay to qualify for the cash discount.

Net Period

The total number of days a buyer has to pay the full invoice amount.